



Department of EEE NMAMIT, Nitte

Course: Management and
Entrepreneurship

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Lecture – 02: Types of Plans, Steps
in Planning, Limitations of Planning

Types of Plans

- Based on time period, plans are classified as:
- **Long term plans:**
 - Typically represent strategic plans
 - Have a time period between 2 to 5 years
 - Length of planning period is a function of production cycle, sales fluctuation and desires of top management
- **Medium term plans (Intermediate range plans):**
 - Usually refer to the tactical level plans covering a time horizon of 1 to 2 years.
 - Give direction to middle level management.
 - Intermediate range plans support long range plans.

Types of Plans (Contd...)

➤ **Short term plans:**

- Generally have a time period from six months to one year
- Are tools for day to day management
- Are detailed plans containing:
 - What to do?
 - When to do?
 - Who should do?
 - Where to do

➤ **Organizational Plans based on Hierarchy:**

- In large organizations, there are various types of plans that are arranged in a hierarchy within the organization.
- This means that plans at each level have to be consistent with and contributive to the achievement of plans above them (Fig 1).

Types of Plans (Contd...)



Fig 1: Hierarchy of Organizational Plans

Types of Plans (Contd...)

- Generally, there are two types of plan, Standing Plan and Single Use Plan.
- **Standing Plans are long term plan and are of repetitive nature.**
- This is because their key area is organizational situations that occur frequently.
- **A single use plan as the name indicates is for short period and for only one use.**
- The use of this kind of plan is just once, or at most, couple of times, as the key area for such plan is a unique or exceptional situation.

Types of Plans (Contd...)

➤ **Standing Plans**

- **Mission:** Every enterprise must mandatorily have a mission describing about its purpose.
- Mission statement describes the reason for the existence of the organization.
- In the words of Mintzberg, “A mission describes the organization’s basic function in society, in terms of the products and services it produces for its customers”.
- The ‘mission’ of a business organization must carry:
 - Purpose
 - Standards of behavior
 - Strategic scope
 - Values and culture

Types of Plans (Contd...)

- To understand, we can take the **mission statement of TCS**, “To direct all our organizational efforts at building upon the existing organizational strengths and brand recognition to achieve enhanced levels of profitable growth in the core business, and diversify into new areas that compliment and supplement the core business, with the diversification aimed at achieving excellence and industry leader status in the new areas. The TCS People will however be encouraged to be open to unconventional ideas and services and recognize new trends at very early stages”.
- The statement not only states the purpose of existence but also the future strategy and expectation from employees.

Types of Plans (Contd...)

- The mission expresses the benefits the customers and society at large will derive from the operations of the organization.
- Mission is customer oriented as well as future oriented.
- The mission statement should hold its validity for a longer period of time.
- The mission statement is defined in a broader way.
- It should be dynamic in approach so that business can grab new opportunities and ward off threats that may emanate from competitive business situation that may arise in future.

Types of Plans (Contd...)

➤ Objectives:

- The specific purpose to be achieved by the organization is called its objective.
- In the words of Dalton E, McFarland “Objectives are the goals, aims or purposes that organizations wish to achieve over varying periods of times”
- ‘it is a wider term of which mission statement is a part.
- Objectives are predefined, clear, plural, realistic and purposeful.
- They are the end result that organization wants to achieve.
- The objectives are accomplished by channelizing all the resources efforts and energies towards them. Objectives translate mission statement into action.

Types of Plans (Contd...)

- The significance of objective can be understood with the lines of Ducker, “The search for one objective is essentially a search for a magic formula that will make judgment unnecessary.
- Objectives are needed in every area where performance and results directly and vitally affect the survival and prosperity of the business.”
- Objectives are framed keeping in mind the present external environmental factors internal resources and constraints, at the same time they are future oriented.
- Future growth prospects and risk associated with business should be anticipated and incorporated in organizational objectives.

Types of Plans (Contd...)

- (A) An organization can have multiple objectives for e.g. providing services and products to the customers, quality improvement, earning profit, improving growth rate, survival etc.
- (B) Objectives form a hierarchical structure. At the top there are organizational objectives that percolate down the level.
- After the formation of organizational objectives departmental objectives are formed which are followed by group objectives.
- At the bottom of hierarchy individual objectives are set.
- (C) Objectives should be result oriented, interconnected and mutually supportive.
- Organizational objectives act as integrating force and provides basis for formulation of policies, strategies, procedures programs and other plans.

Types of Plans (Contd...)

- (D) Objective should be clear.
- If they are carefully stated and understood the chances of achieving them increases manifold.
- (E) Objective should be quantified and defined in measurable terms.
- This helps in eliminating subjectivity and confusion.
- Increase in market share by 5 % is specific and sets a clear target for the employees to achieve.
- (F) Objective should be realistic and attainable.
- They should provide some challenge to stimulate motivation and growth but at the same time they should be achievable.

Types of Plans (Contd...)

- **Policies:** Decision making needs a pre-defined guidelines and directions.
- Policies are basic guidelines for decision making.
- Policies define scope inside which the employees can take decisions.
- The statement that provides broad guidelines and direction for taking action consistent with attaining the objectives of the organization is termed as policies.
- These usually help manager with solution to deal with routine problems that occur frequently, so that manager gets more time to deal with unusual, crucial and more significant problems of the organization.
- For e.g. the organization can formulate policies for purchase, promotion, recruitment and selection, research and development and so on.

Types of Plans (Contd...)

- Policies should be clearly made so that, employees of the organization can understand and adhere to them and the organization can function more efficiently.
- Various policies can be formed for various departments but once formed they should not be changed frequently.
- The HR department can have their own recruitment policies;
- the sale department can have their own incentive policies to boost sales and so on.
- Due to rapidly changing environment it becomes mandatory to review and appraise policy from time to time.
- If the policies are not contributing to organizational objectives, company reputation and competitive strength then it should be changed

Types of Plans (Contd...)

➤ **Procedures:**

- The techniques or means to be used for achieving the objectives set in advance is termed as procedure.
- A procedure is a standing plan detailing about the succession of associated acts that are required to perform the task.
- It is the execution part of policies.
- These tend to be more specific than the policies.
- Procedures are chronologically defined sequential activities or steps that are required to be performed with little scope for individual discretion.
- It sets out a standardized way things should be done.

Types of Plans (Contd...)

- Let's say, leave procedure.
- The organization sets out a procedure how to take leave, any employee has to follow the same process of filling the form and taking permission and so on for the purpose of availing leave.
- They are the acceptable way in which tasks are performed.
- The establishment of procedure ensures consistent and uniform actions to do routine job.
- This saves time and effort and also helps in delegating work to lower level managers.
- It provides order in organization and removes administrative bottlenecks.
- Procedures should be standardized and in alignment with organizational objectives.

Types of Plans (Contd...)

- **Rules:** These are precise statements on how a situation needs to be tackled.
- These are management decision regarding what one needs to do and what one should refrain from in a certain situation.
- These are **regulatory instructions** to people on their behavior and action.
- One can identify them as the '**organization's commandments**' to ensure that the environment has discipline and well defined code of conduct for controlling the behavior of the people of the organization.
- A rule is distinct, clear and has no scope of flexibility or discretion, therefore the infringement of rules carries a penalty.

Types of Plans (Contd...)

- **Strategy:** The word strategy has been derived from Greek word '**strategic**', meaning the art of troop leader.
- The word has been more commonly used in military environment.
- In business management it means policy formulation by top management which helps in interpretation and understanding the meaning of other policies.
- A strategy is a unique plan devised to cope up with the actions and reactions of the competitors.
- In the words of C. T. Hardwick and B.F. Landuyt, "The word strategy is used to signify the general concept and salient aspect of gamesmanship as an administrative course designed to bring success."
- The purpose of formulating strategy is to provide competitive advantage by capitalizing on its own strength, grabbing opportunities in environment and saving the organization from the threats posed by the environment.
- According to John Argenti "strategic planning is a careful, deliberate taking of decisions which affect or are intended to affect the organization as a whole, as opposed to only parts of it, over long periods of time".

Types of Plans (Contd...)

➤ **Single Use Plan:**

➤ **(1) Programs:**

- An action based, result-oriented and unique plan to meet a specific business condition is termed as programs.
- These are formed to accomplish a project undertaken.
- Since the projects are accomplished over a certain period of time these programs also are short lived.

➤ **(2) Budget:**

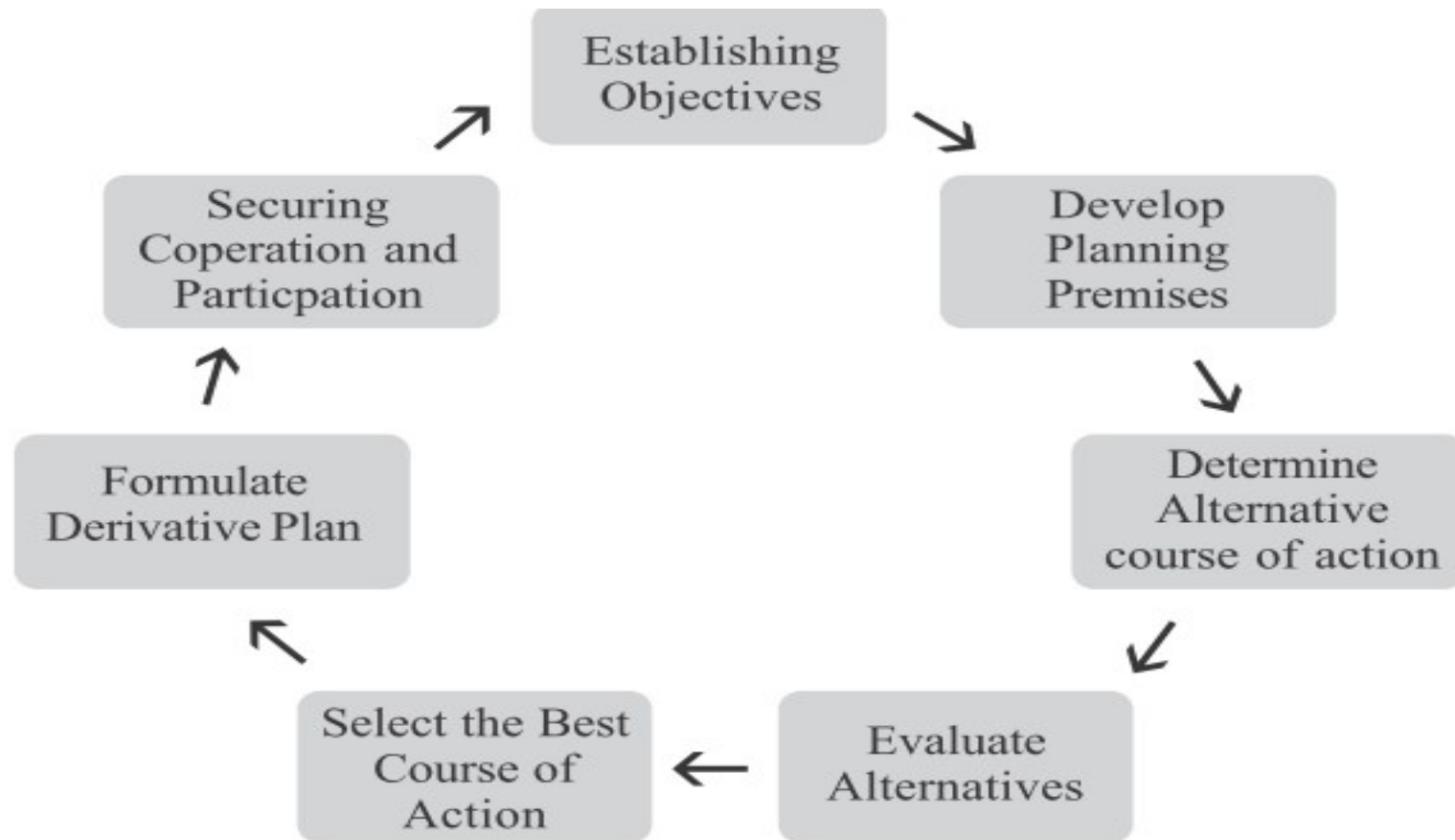
- An estimated or forecasted quantifiable statement discussing the expectation is termed as Budget.
- It is forecasted statement expressed numerically of what an organization wants to achieve and what will be the expenses to achieve it.
- It is a financial plan for a specified period of time generally illustrating movements of funds (inflow and outflow).
- It is designed to allocate resources of an organization and forms a standard for performance appraisal.

Features of Planning

➤ **Features of Planning:**

- It is primary function of management.
- It is an intellectual process
- Focuses on determining the objectives
- Involves choice and decision making
- It is a continuous process
- It is a pervasive function

Steps in Planning



Steps in Planning (Contd...)

- **Establishing Objectives:** Setting objective is the primary activity in planning. This is so because once the objectives are determined and defined all other activities required for the achievement of the goals can be worked upon and synchronized.
- **Develop planning premises:** Identifying those factors which can significantly influence the probable outcome of different alternatives is called premise.
 - Prior to taking decision on finalizing an alternative a forecast of this assumption is made. This assumption bears a direct relation to the success of planning.
 - The more accurate is the forecasting the more accurate is planning.
 - These assumption commonly referred as planning premises and are of two types: Internal premises (factors which are insider to the organization and under the control of it like labor, raw material etc) and external premises (factors which are beyond the control of management like Government policies, business competition etc.)

Steps in Planning (Contd...)

- **Determine alternative course of action:** based on the objectives of the business various alternatives to attain the goal are identified.
- **Evaluate alternatives:** out of the numerous available alternatives, the choice of most appropriate method of doing is selected.
 - This is done by establishing certain criterion and evaluating each alternative on the predetermined criteria.
 - The criterion can be feasibility, cost and benefit analysis for evaluating each alternative.
- **Select the best course of action:** the alternative which best fits the predetermined criteria is chosen for attaining the organizational goal.
 - Usually the second best is kept as a reserve as the future is considered to be uncertain.

Steps in Planning (Contd...)

- **Formulate derivative plan:** The implementation of main plan requires formulation of various secondary plans also.
 - They are called derivative plans.
 - They support the main plan and usually keep track of time schedule and sequencing of various tasks.
- **Securing co-operation and participation:** once the plan to achieve the goal is ready with desired course of action, the important aspect related to it is to seek cooperation from the employees who are actually going to execute it.
 - Once the plan is clear the workforce can jointly participate and contribute towards its achievement with a raised morale level and motivation.

Limitations of Planning



Limitations of Planning (Contd...)

- **Planning is an important function in management, but it has several limitations, including:**
- **Rigidity:**
 - Plans can lead to rigidity, where managers stick to them even when circumstances change.
 - This can make it difficult to adapt to new situations.
- **Lack of accuracy:**
 - Plans are based on forecasts and assumptions about the future, which may not always be accurate.
- **Time-consuming:**
 - Planning involves gathering information, analyzing it, and making decisions, which can be very time-consuming.
- **Cost:**
 - Planning can be expensive, involving time, effort, and resources. This can be a limitation, especially for small organizations.

Limitations of Planning (Contd...)

➤ **Resistance to change:**

- Employees and managers may resist changes that come with new plans.

➤ **Does not guarantee success:**

- Managers may believe that planning will fix all of their difficulties, which can cause them to neglect their actual tasks.

➤ **External limitations:**

- Plans may be delayed if changes are needed or emergencies arise.

➤ **Non-functional in a dynamic process:**

- It can be difficult for organizations to stick to a plan when faced with dynamic changes, such as market fluctuations or natural calamities.

Limitations of Planning (Contd...)

➤ **Psychological barrier:**

- The success of planning depends upon accuracy of information.
- The fear of uncertainty makes people resistant to change.
- This attribute affects successful planning.
- Making people understand the need for change and implementing the change often becomes challenging.

➤ **False sense of security:**

- Most of the time managers rely too much on plans.
- They believe that once the planning is done everything is safe and secure.
- They do not keep updating policies and procedure with respect to changing environment.

➤ **Limited flexibility:**

- A predetermined course of action sometime results in rigidity in the work place.
- Besides the limited flexibility and freedom kills employee's enthusiasm in the work.

Limitations of Planning (Contd...)

➤ **Managerial Deficiency:**

- Although planning is a crucial aspect of management some managers undermine its importance.
- They lack acumen and farsightedness required in planning process.

➤ **Environmental turbulence:**

- External environment cannot be controlled.
- Factors such as government regulation, legal environment, and technological factors keep on changing making plan of period invalid for subsequent use.

Thank You